

The Homelessness Trap:
Labor Market Trajectories of Individuals Experiencing
Homelessness

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Sciences Po

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The New York Times

OPINION
GUEST ESSAY

America Is Pushing Its Workers Into Homelessness

March 1, 2025



Derek Miller Hurtado

SOCIÉTÉ • CRISE DU LOGEMENT

Quand travailler ne suffit pas à se loger

Ils ont une activité professionnelle mais ne parviennent pas à se loger par leurs propres moyens, semble s'accroître.

Par Claire Ané

Publié le 31 mai 2024 à 15h30, modifié le 01 juin 2024 à 13h39 · Lecture 7 min.

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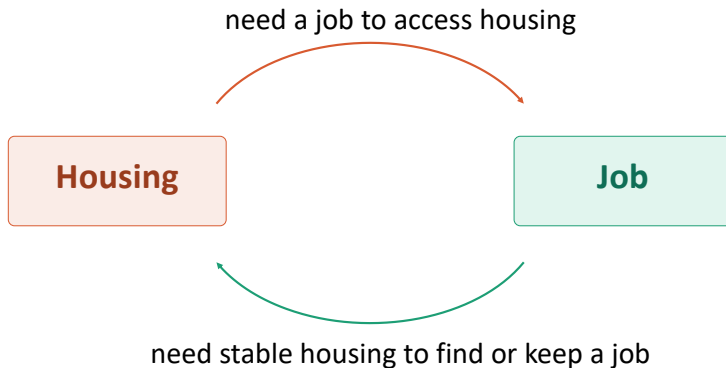


Article réservé aux abonnés

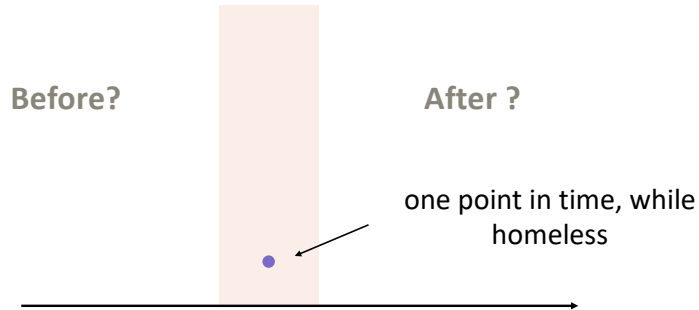


Salomé (il s'agit d'un prénom d'emprunt), infirmière au SAMU Social de Paris et sans domicile fixe, le 27 mai 2024. CAMILLE GHARBI POUR « LE MONDE ».

Homelessness and Unemployment: A Vicious Cycle

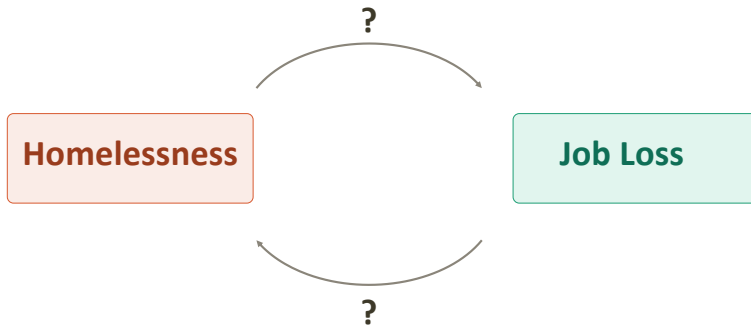


Challenges Studying the Vicious Cycle: Data



⇒ Need to reconstruct labor market trajectories over time

Challenges Studying the Vicious Cycle: Identification



⇒ Need exogenous variation to disentangle bidirectional causation

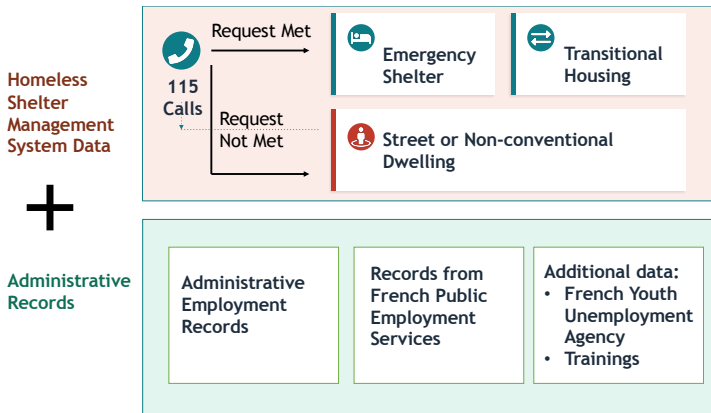
This Paper: Both Directions of the Vicious Cycle

1. **Data:** French nation-wide shelter records + administrative (un-) employment records → labor market trajectories of **1 million individuals having experienced homelessness**
2. **Identification:** Exploiting quasi-random shocks in both directions

Main Findings:

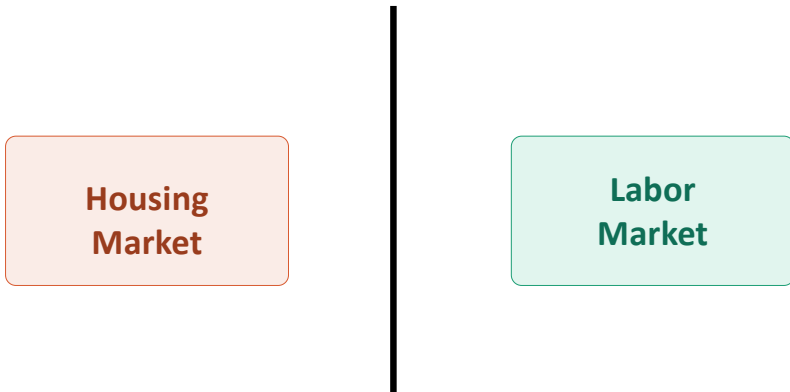
- **Job Loss:** ↑ Homelessness Risk
- **First Shelter Request Met:** ↑ Job Retention and Labor Market Attachment
 - **Bundled treatment** ↑ # Nights Spend in Shelters (**Quantity**) and ↑ Quick Entry into Transitional Housing (**Quality**)

Reconstructing Labor Market Trajectories of Homeless Individuals

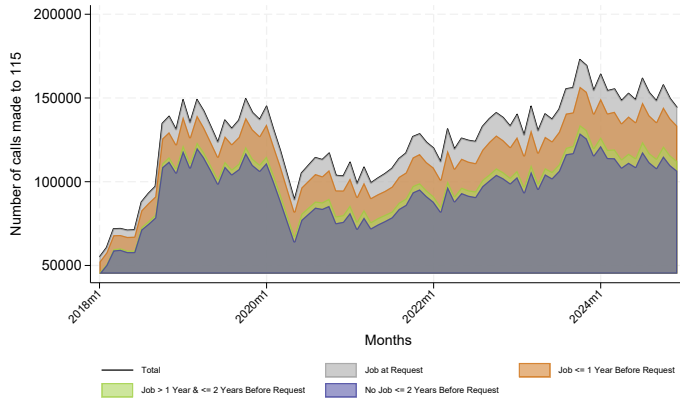


→ Match allows to track every labor market contract and unemployment spells of **over 1 million individuals experiencing homelessness between 2017 and 2025 in France**

Interaction between Homelessness and Labor Markets: Status Quo



Fact 1: Over 1/3 of 115 Callers Have Recent Labor Market History

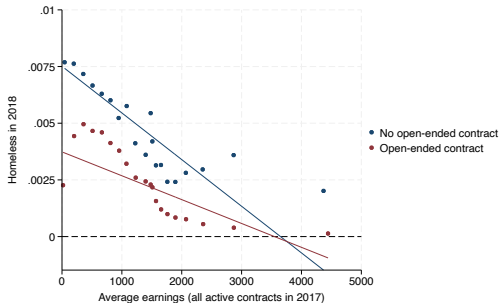


Individuals working at the time of the request: **8.6% in 2024**

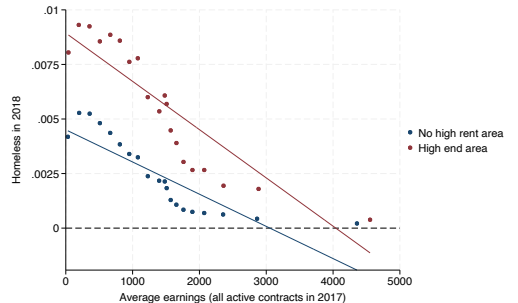
Individuals with work history within the 2 years before the request: **26.7% in 2024**

Fact 2: Homelessness Risk Linked To Precarious Labor Market Conditions

Earnings and Open-Ended Contract

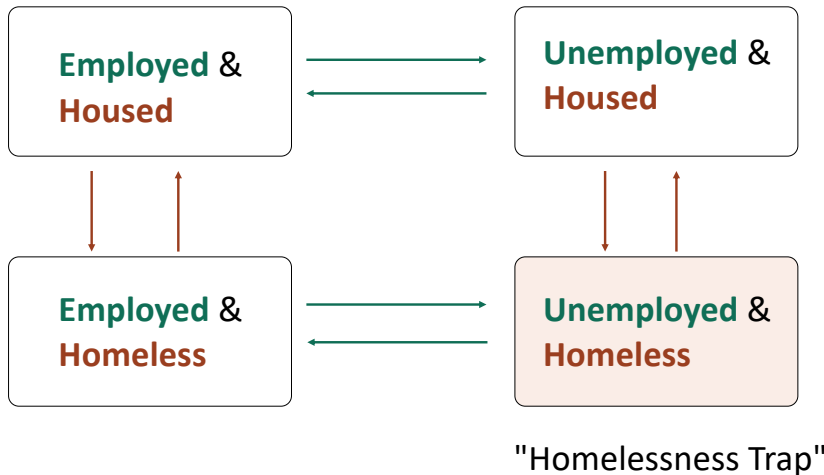


Earnings and Rent-Burden

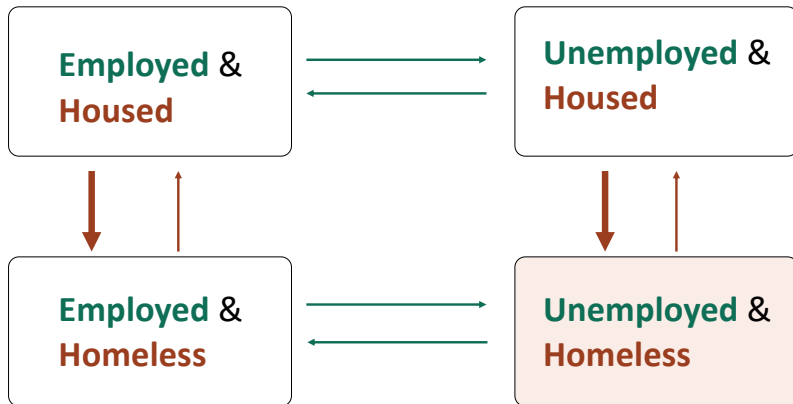


Conceptual Framework

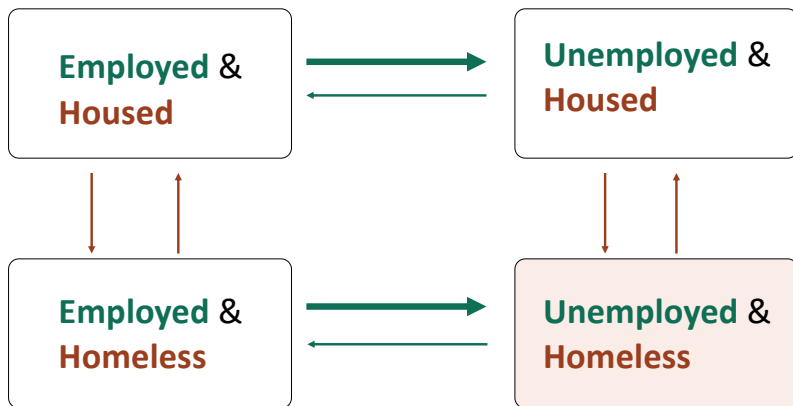
Value Functions



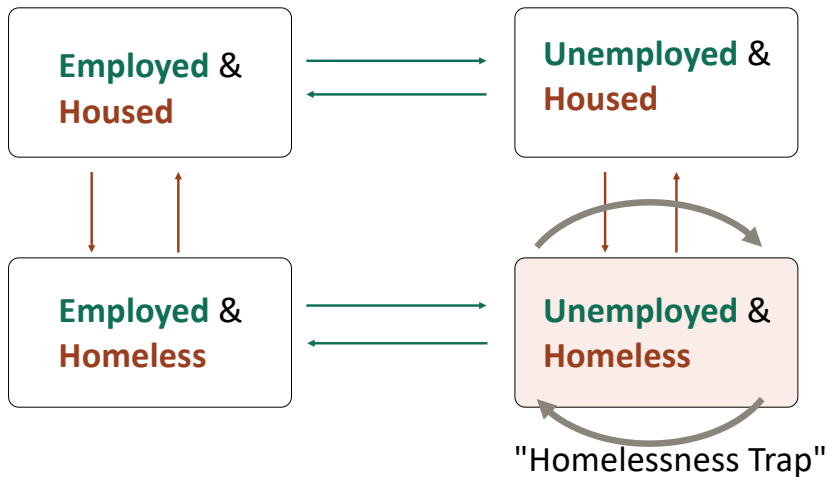
Prediction 1: Job Loss $\uparrow$ Homelessness



Prediction 2: Homelessness $\uparrow$ Job Separation



Prediction 3: Homelessness Trap: $\uparrow$ Job Separation + $\downarrow$ Job Finding



Testing Prediction 1: Job Loss $\uparrow$ Homelessness

Test: Matched differences-in-differences exploiting economic layoff events

Exploit Economic Layoffs to Isolate Effect of Job Loss

- **Treatment** = Workers being laid off in economic layoffs events between 2017 and 2023, which is defined by French law as at least two workers being laid off for an economic reason in a given month in a given firm.
- **Set of potential controls** = All individuals employed in firms that did not engage in economic layoffs during the analysis period and were not displaced in the same calendar year

⇒ Matched difference-in-differences strategy with detailed one-to-one matching (Sample of 53,619 matched treated workers out of 240,370):

$$Y_{it} = \alpha + \gamma Treat_i + \sum_{t=-P, t \neq 0}^T \delta_t (Treat_i * Time_t) + \phi_t + \epsilon_{it}$$

More details on Economic Layoffs

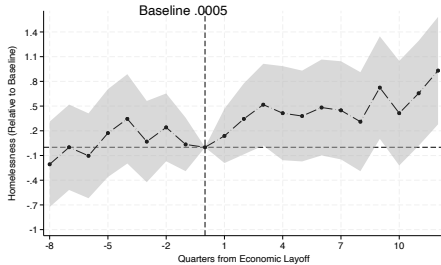
Main Findings

	Employment	Employment (Open-Ended)	Earnings	Homeless
	(1)	(2)	(3)	(4)
Economic Layoff	-0.32771*** (0.002)	-0.41779*** (0.002)	-661.46718*** (8.890)	0.00025** (0.000)
Mean outcome, treated at t=0	1	1	2,109	0.0005
Effect relative to mean	-32%	-41%	-31%	50%
Number of obs.	2,681,175	2,681,175	2,681,175	2,681,175

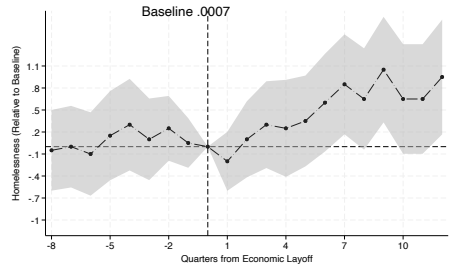
On average, homelessness increases by 50% relative to baseline after the economic layoff event

Dynamic Effects: Labor

Effect on Homelessness



Dynamic Event Study (Full Sample)



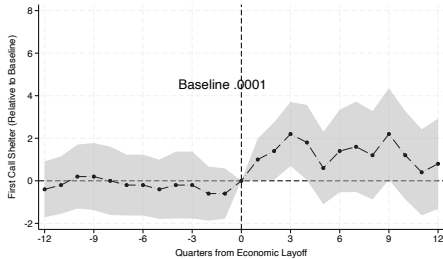
Dynamic Event Study (Men)

Homelessness rates double relative to baseline 3 years after the economic layoff event

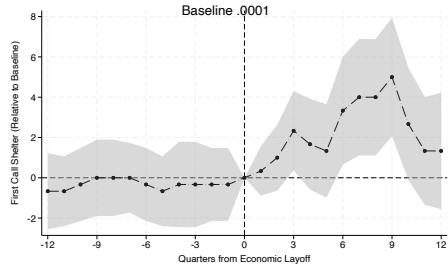
Robustness: Only Treated

Robustness: Without Covid Years

Timing of Entry into Homelessness: Effect on First Call for Shelter



Dynamic Event Study (Full Sample)



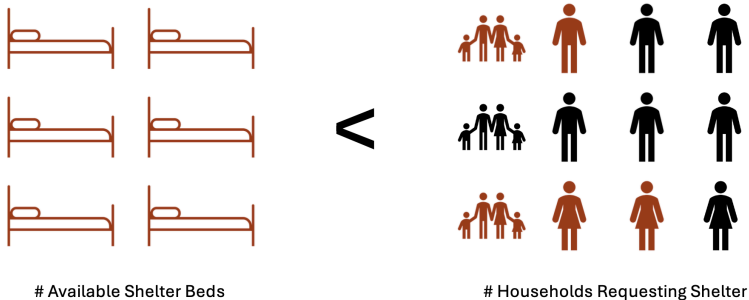
Dynamic Event Study (Men)

Timing of first call: Increase in homelessness risk 1 to 2 years after layoff, consistent with rules around UI benefits expiry

Prediction 2 and 3: Homelessness ↑ Job Separation & ↓ Job Finding

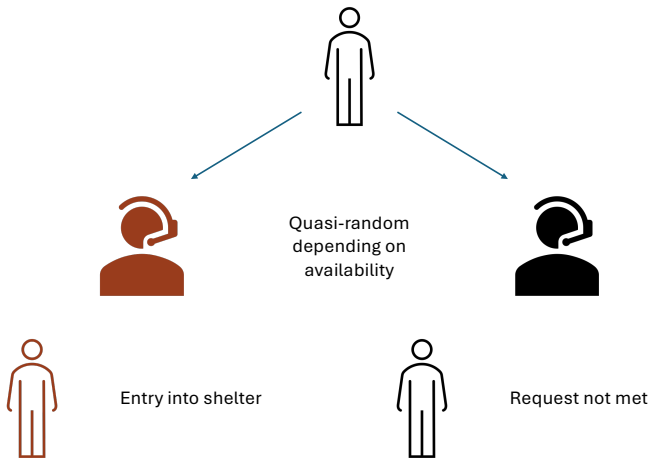
Test: quasi-random shelter access via leniency of 115 call-center agents

Setting: Over-saturation of the French Shelter System

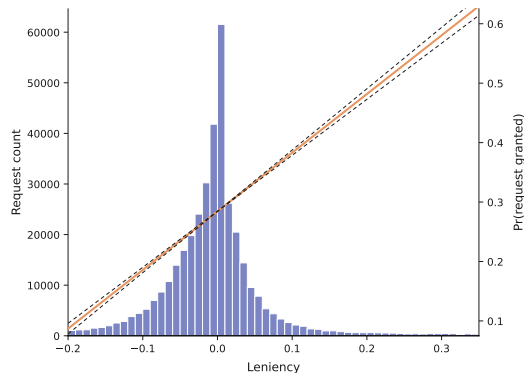


On average, 60% of the requests cannot be met (Dihal, 2026).

IV Design: Exploit Agent Leniency to Isolate Effect of Shelter Access

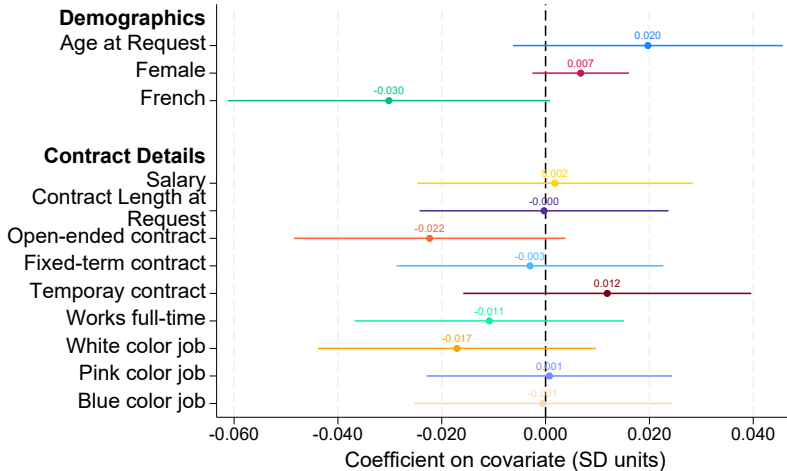


IV Validity: Variation in Agent's Leniency



→ Reaching a lenient rather than a strict agent on the first call $\uparrow$ the chance of a bed from 22% to 36%

IV Validity: Balance



Empirical Strategy

- **Treatment:** first 115 request met, $D_i = \mathbf{1}\{\text{request met}\}$
- **Instrument:** leniency $Z_{j(i)}$ of the quasi-randomly assigned call-center agent, within area $\times$ month $\times$ shift for single men (*margin of discretion*)

$$D_i = \pi Z_{j(i)} + \gamma_{c(i)} + \delta X_i + \nu_i \quad (\text{first stage})$$

$$Y_i = \beta D_i + \gamma_{c(i)} + \delta X_i + \varepsilon_i \quad (2\text{SLS})$$

- i : caller, $j(i)$: assigned agent, γ_c : dept. $\times$ month $\times$ shift and household FE
- X_i : controls for small baseline imbalances (age bins, nationality groups);
- SEs clustered on agent;
- Main specification: Working-age population requesting shelter between May 2021 - March 2024

Rapid Shelter Access ↑ Job Retention

	Employed at Request						
	Contract End ≤ 3 Months	Contract End ≥ 1 Year	Contract Termination	Reasons Contract End			
				Misconduct	Quit	End Trial Period	Health
First Request Met	-0.072** (0.034)	0.065* (0.036)	-0.084*** (0.030)	-0.027 (0.016)	-0.039* (0.023)	-0.025* (0.013)	-0.000 (0.008)
Control mean	0.421	0.333	0.257	0.081	0.125	0.039	0.015
Kleibergen–Paap <i>F</i>	666.59	666.59	666.59	666.59	666.59	666.59	666.59
Observations	15,924	15,924	15,924	15,924	15,924	15,924	15,924

Rapid Shelter Access ↑ Labor Market Attachment

	Unemployed at Request			
	Job (1 Year)	Open-ended contract (1 Year)	Days Worked (1 Year)	Earnings (1 Year)
First Request Met	0.060*** (0.012)	0.016** (0.007)	15.664*** (3.482)	71.832*** (14.532)
Control mean	0.081	0.035	24.035	93.990
Kleibergen–Paap F	1,413.83	1,413.83	1,413.83	1,413.83
Observations	81,461	81,461	81,461	81,461

Mechanism: Broader Access and Use of Homeless Services

	Labor Force at Request			
	Nights in Shelter (12 months)	Transitional housing (12 months)	Nights Emergency Shelter	Nights Transitional Housing
First Request Met	50.404*** (5.278)	0.036*** (0.011)	44.583*** (5.440)	6.225*** (2.074)
Control mean	6.703	0.036	2.831	3.904
Kleibergen—Paap <i>F</i>	1,341.62	1,341.62	1,341.62	1,341.62
Observations	97,385	97,385	97,385	97,385

Conclusion

Novel longitudinal data: high-frequency **labor market trajectories of people experiencing homelessness**

The homelessness trap

- Job loss $\uparrow$ homelessness risk
- Homelessness $\uparrow$ job separation $\Rightarrow$ the cycle closes
- **Rapid shelter access** breaks it: $\uparrow$ job retention and labor market attachment

$\Rightarrow$ Evidence points to rapid, unconditional shelter access as a lever for breaking the vicious cycle between unemployment and homelessness.

Thanks!

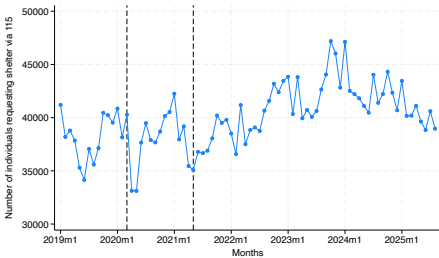
Feel free to reach out: johanna.roth@sciencespo.fr

References I

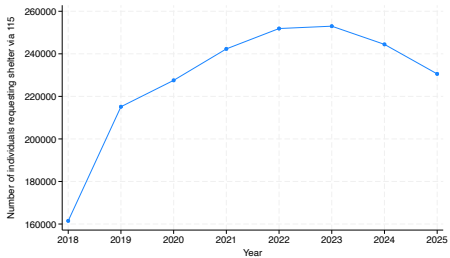
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Homelessness in France: Callers to 115 Per Year



Callers Per Months



Callers per Year

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Once restricting on those eligible for matching, samples look fairly similar

	Not Matched		Matched		Δ		
	$\bar{x}$	sd	$\bar{x}$	sd	$\Delta \bar{x}$	Δ sd	p-val
Panel A: Information about Request							
Year of Request	2021	2.506	2020	2.615	-0.519	0.003	0.000
Household Type:							
Couple with Children	0.085	0.279	0.066	0.248	-0.019	0.000	0.000
Couple without Children	0.027	0.163	0.025	0.155	-0.003	0.000	0.000
Single Women	0.139	0.346	0.165	0.371	0.026	0.000	0.000
Single Women with Kids	0.120	0.325	0.140	0.347	0.020	0.000	0.000
Group with Kids	0.135	0.342	0.101	0.302	-0.034	0.000	0.000
Adults without Kids	0.071	0.257	0.062	0.241	-0.009	0.000	0.000
Isolated Man	0.390	0.488	0.421	0.494	0.031	0.001	0.000
Man with Kids	0.012	0.107	0.015	0.121	0.003	0.000	0.000
Panel B: Sociodemographic Characteristics							
Age	35.839	19.838	36.515	12.470	0.676	0.017	0.000
Female	0.413	0.492	0.425	0.494	0.012	0.001	0.000
French Nationality	0.298	0.458	0.535	0.499	0.236	0.001	0.000
Observations	1,118,749		1,044,769		2,163,518		

Detailed Matching Procedure

Detailed Matching Procedure

Detailed Matching Procedure:

1. Match based on **first name, last name and date of birth** to identify **exact matches**: **94%**
2. Apply **proximity algorithm** (Jaro Winkler) for names to match on strongly similar (but not identical) first name and last name as well as **exact date of birth**: **5%**
3. Match based on **similar names** (Jaro Winkler), **month or birth year identical**, and **identical phone number**: **0.08%**

Details Full Sample 1

Details Full Sample 2

Matching Results I/II [Back](#)

	Not Matched		Matched		Δ		
	$\bar{x}$	sd	$\bar{x}$	sd	$\Delta\bar{x}$	Δ sd	p-val
Panel A: Information about Request							
Year of Request	2021	2.507	2020	2.616	-0.577	0.003	0.000
Household Type:							
Couple with Children	0.135	0.342	0.066	0.248	-0.069	0.000	0.000
Couple without Children	0.020	0.140	0.025	0.156	0.005	0.000	0.000
Isolated Child	0.020	0.141	0.006	0.078	-0.014	0.000	0.000
Group of children	0.003	0.058	0.000	0.020	-0.003	0.000	0.000
Single Women	0.097	0.296	0.165	0.371	0.068	0.000	0.000
Single Women with Kids	0.239	0.426	0.137	0.344	-0.102	0.000	0.000
Group with Kids	0.153	0.360	0.100	0.300	-0.053	0.000	0.000
Adults without Kids	0.048	0.215	0.062	0.241	0.013	0.000	0.000
Isolated Man	0.266	0.442	0.424	0.494	0.158	0.001	0.000
Man with Kids	0.018	0.134	0.015	0.120	-0.004	0.000	0.000
Observations	2,083,945		1,086,571		3,170,516		

Matching Results II/II [Back](#)

	Not Matched		Matched		Δ		
	$\bar{x}$	sd	$\bar{x}$	sd	$\Delta\bar{x}$	Δ sd	p-val
Panel A: Information about Request							
Additional Request Info:							
Refugee Status	0.031	0.173	0.079	0.270	0.048	0.000	0.000
Violence Victim	0.069	0.253	0.086	0.280	0.017	0.000	0.000
Anonymous Person	0.011	0.102	0.000	0.000	-0.011	0.000	0.000
Panel B: Socio-demographic Characteristics							
Age	28.718	19.838	37.163	12.470	8.445	0.021	0.000
Female	0.432	0.495	0.421	0.494	-0.011	0.001	0.000
French Nationality	0.314	0.464	0.525	0.499	0.211	0.001	0.000
EU Nationality	0.069	0.254	0.053	0.224	-0.016	0.000	0.000
Nationality Outside of EU	0.613	0.487	0.419	0.493	-0.193	0.001	0.000
Nationality Unknown	0.482	0.500	0.239	0.427	-0.243	0.001	0.000
Observations	2,083,945		1,086,571		3,170,516		

Value Functions [Back](#)

Unemployed & Homeless

$$\rho U_{NH} = b - c_{NH} + \kappa \lambda \int \max\{W_{NH}(x) - U_{NH}, 0\} dF(x) + \pi_U \int \mathbf{1}(c \leq b) \max\{U_H(c) - U_{NH}, 0\} dG(c)$$

Unemployed & Housed

$$\begin{aligned} \rho U_H(c) = & b - c + \lambda \int \max\{W_H(x, c) - U_H(c), 0\} dF(x) \\ & + \theta \left[\int (\mathbf{1}(c' \leq b) \max\{U_H(c'), U_{NH}\} + \mathbf{1}(c' > b) U_{NH}) dG(c') - U_H(c) \right] \end{aligned}$$

Employed & Homeless

$$\rho W_{NH}(w) = w - c_{NH} + \pi_E \int \mathbf{1}(c \leq w) \max\{W_H(w, c) - W_{NH}(w), 0\} dG(c) + s_{NH} [U_{NH} - W_{NH}(w)]$$

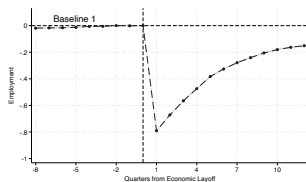
Employed & Housed

$$\begin{aligned} \rho W_H(w, c) = & w - c + s_H \left[\mathbf{1}(c \leq b) \max\{U_H(c), U_{NH}\} + \mathbf{1}(c > b) U_{NH} - W_H(w, c) \right] \\ & + \theta \left[\int (\mathbf{1}(c' \leq w) \max\{W_H(w, c'), W_{NH}(w)\} + \mathbf{1}(c' > w) W_{NH}(w)) dG(c') - W_H(w, c) \right] \end{aligned}$$

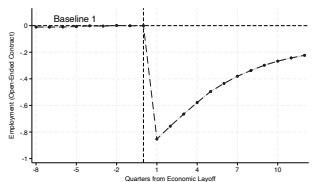
Identification of Mass Layoffs [Back](#)

- Step 1 - Identification of Economic Layoffs:
 - Licenciement suite à liquidation judiciaire ou à redressement judiciaire
 - Licenciement suite à fermeture définitive de l'établissement
 - Licenciement pour motif économique
 - Licenciement pour fin de chantier ou d'opération
 - Autre fin de contrat pour motif économique
 - Rupture pour motif économique dans le cadre d'un contrat de sécurisation professionnelle CSP
 - Rupture anticipée d'un contrat de travail ou d'un contrat de mission suite à fermeture de l'établissement
- Step 2 - Identification of economic layoffs of at least 2 workers per firm in a given months
→ 240,370 workers

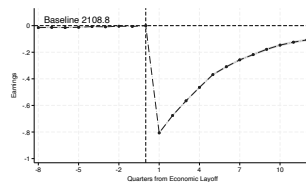
Effect on Labor Market Outcomes [Back](#)



Employment



Employment
(Open-Ended Contract)

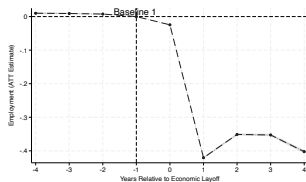


Earnings

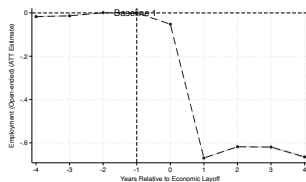
Robustness: Only Treated

Robustness: Without Covid Years

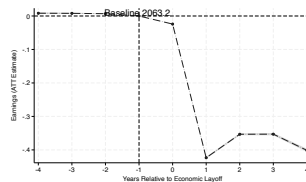
Robustness Only Treated: Effect on Labor Market Outcomes - Relative to Baseline



Employment



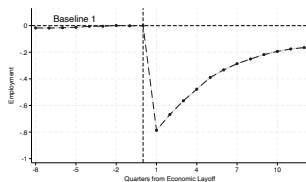
Employment (Open-Ended Contract)



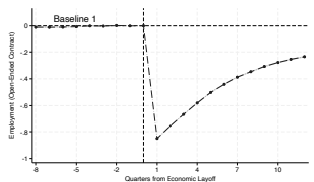
Earnings

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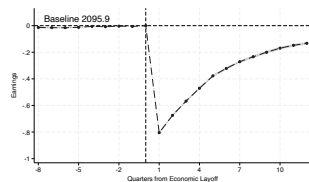
Robustness Excluding 2020 and 2021: Effect on Labor Market Outcomes - Relative to Baseline



Employment



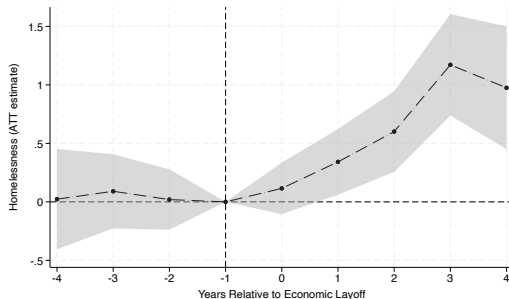
Employment (Open-Ended Contract)



Earnings

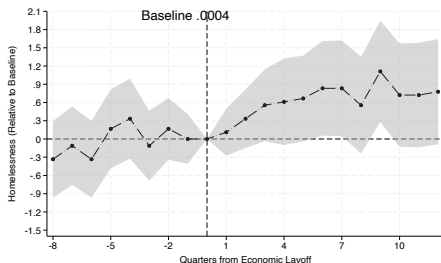
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Robustness Treated Only: Effect on Homelessness - Relative Effects

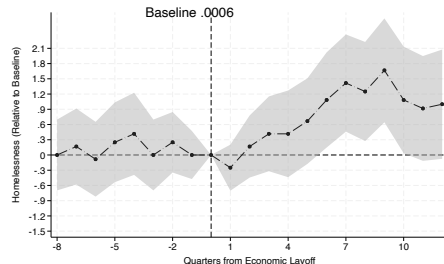


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Robustness Excluding 2020 and 2021: Effect on Homelessness - Relative to Baseline



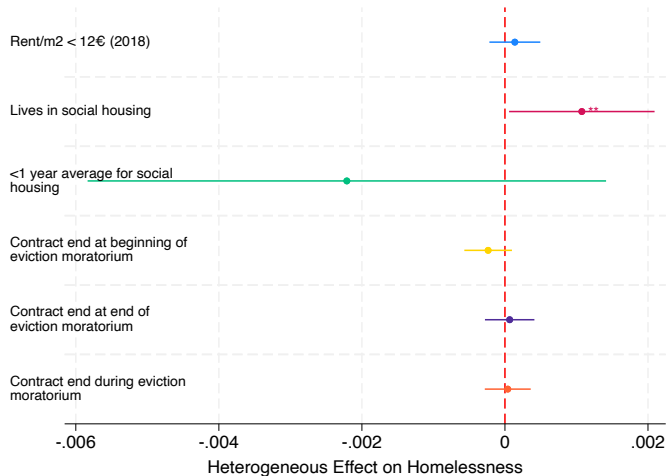
Dynamic Event Study (Full Sample)



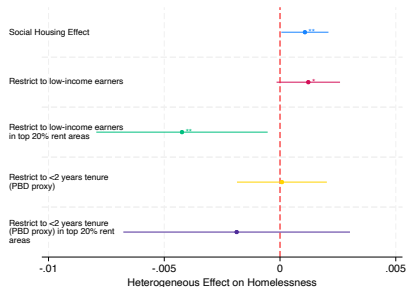
Dynamic Event Study (Men)

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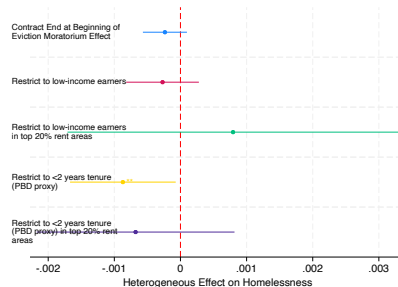
Heterogeneity Analysis: Housing Policies



Heterogeneity Analysis: A combination of housing and income



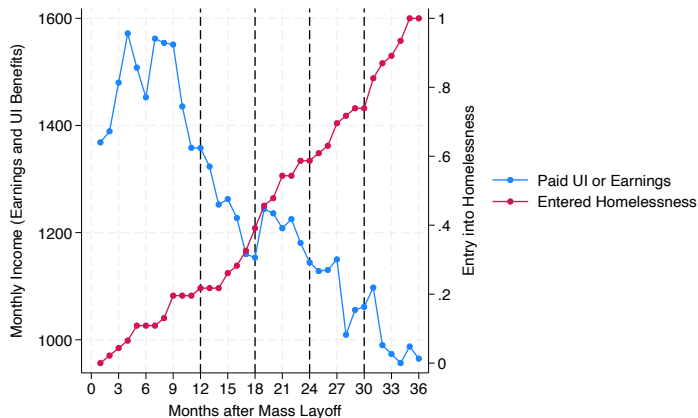
Social Housing



Eviction Moratorium

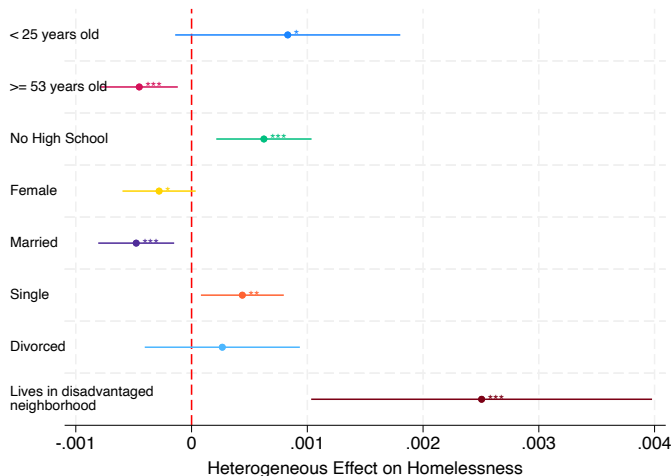
Back

Who are those becoming homeless after an economic layoff event — A story of income?



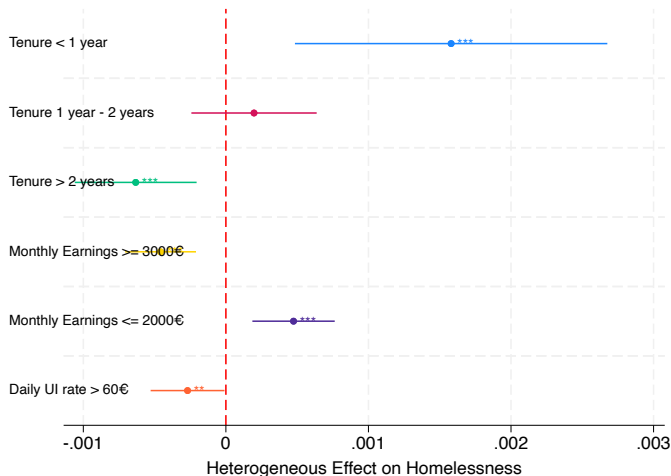
Sample = All Individuals Becoming Homeless After Economic Layoff

Heterogeneity Analysis: Sociodemographic Characteristics



TreatPost × Heterogeneity Variable: Household composition, age and education

Heterogeneity Analysis: Job Characteristics



TreatPost × Heterogeneity Variable: Tenure and earnings level

Housing Policies

Robustness: The Effect of Housing Loss on Labor Market Trajectories — Landlord Shock

	Any Job	Job $\geq$ 1 months	Earnings
	(1)	(2)	(3)
Effect of housing loss	-0.20*** (0.017)	-0.16*** (0.018)	-246.14*** (20.66)
Pre-treatment average	-0.02 (0.003)	-0.02 (0.003)	-24.0 (4.05)
Mean outcome, treated at $t=0$	0.62	0.53	781.11
Effect relative to mean	-32%	-30%	-32%
Number of obs.	21,536	21,536	21,536
Controls: Gender & Age Groups	Yes	Yes	Yes